

OCAD - ONE COMPANY A DAY

SERIES: INDUSTRIAL

CATERPILLAR

Caterpillar Inc.

NYSE: CAT | Irving, Texas, United States

USD 819.95

Closing price, Monday 28 September 2026 (latest completed trading day)



Daily closing price, 29 June 2026 to 28 September 2026, USD. Source: Alpha Vantage, NYSE daily series.

ANALYST

Arthur Faugeron

REPORT DATE

29 September 2026

EXCHANGE

New York Stock Exchange

SECTOR

Industrials, Heavy Machinery

Executive Summary

BASIS: FIGURES SOURCED FROM COMPANY FILINGS AND MARKET-DATA PROVIDERS; ASSESSMENTS REASONED.

Business

Caterpillar designs, manufactures and services construction equipment, mining machinery, engines, generator sets, gas turbines and locomotive products, and finances their sale through Cat Financial. Revenue is generated through roughly 150 independent dealers, and services revenue reached USD 24bn in FY2025, giving the company a large recurring layer on top of cyclical machine sales.

Main customers are contractors, miners, utilities, oil and gas operators, marine and rail operators and, increasingly, data-center developers buying prime and backup power. North America generated USD 12.1bn of the USD 20.5bn Q2 2026 revenue (59%). The model is capital-intensive manufacturing plus a captive finance arm.

Financial Condition

FY2025 revenue was USD 67.6bn (up 4.3%), operating income USD 11.8bn (17.4% margin), net income USD 8.9bn and diluted EPS USD 18.81. Trailing twelve months to June 2026 show revenue of USD 74.7bn (up 18.4%), net income USD 10.8bn (14.5% margin), operating cash flow USD 13.6bn and free cash flow USD 9.0bn (12.0% margin).

Consolidated net debt is USD 39.2bn against cash of USD 5.9bn, but most debt funds Cat Financial receivables. Trailing ROIC is 18.3% and ROE 57.0%, the latter inflated by USD 54.5bn of cumulative treasury stock.

Market Position

Principal competitors are Komatsu, Deere, Volvo Construction Equipment and Chinese OEMs in machines, and Cummins, Rolls-Royce Power Systems, Wartsila, GE Vernova and Siemens Energy in power. Reasoned view: the moat is Strong, built on dealer coverage, installed base, parts and service and a record USD 72bn backlog; the main weakness is cyclicity and exposure to tariffs, which management expects to cost about USD 2.2bn in 2026.

Valuation

Market capitalization is USD 376.9bn and enterprise value USD 416.1bn at USD 819.95. Trailing P/E is 35.3x, forward P/E 28.5x, EV/EBITDA 25.6x and P/FCF 41.9x, against FY2023 levels of 14.6x, 11.3x and 15.4x. Price to sales is 5.0x and dividend yield 0.80%.

Investment Framework

INVESTMENT FRAMEWORK SUMMARY

Question	Assessment (Reasoned)
What is attractive?	Record revenue (USD 20.5bn in Q2 2026), backlog up 92% year on year, pricing above cost inflation, and sharply higher power-generation demand tied to data centers.

Question	Assessment (Reasoned)
What is concerning?	Valuation has more than doubled since FY2023 on trailing earnings; FCF conversion is only 83% of net income because working capital and capex are absorbing cash; leverage sits in the captive finance arm.
What must go right?	Backlog converts to deliveries at current pricing through 2029 and 2030, the new 1.5 GW gas-engine capacity ships from Q4 2026, and margins hold near 21 to 22% at higher volume.
What could break the thesis?	A data-center capex pause, a construction or mining downturn, tariff cost escalation, or a de-rating of industrial multiples toward historical 11 to 15x EV/EBITDA.
What appears priced in?	Base-case cash-flow assumptions support USD 360 to 470 per share; the market price requires either a FCF margin near 24 to 26% or about 8 to 9 points of extra annual growth for ten years.

Investment Profile

INVESTMENT PROFILE

Dimension	Assessment (Reasoned)
Business quality	High: installed base, dealers, services, pricing power
Financial quality	Good, with cash conversion below earnings growth in 2025 and 2026
Competitive position	Strong
Growth profile	Accelerating: TTM revenue growth 18.4% versus 4.3% in FY2025
Balance-sheet risk	Moderate; consolidated net debt/EBITDA 2.4x, mostly captive finance
Valuation	Elevated versus own history and cash-flow value ranges
Market and technical profile	High beta (1.5 to 1.6), 20.6% decline in the last three months, neutral RSI

Sources: Caterpillar Q2 2026 and Q4 2025 earnings releases; Caterpillar 2025 Annual Report (Form 10-K); StockAnalysis.com (S&P Global Market Intelligence data, updated 5 August 2026 for financials and 29 September 2026 for market statistics); Alpha Vantage.

A. About the Business

BASIS: COMPANY DISCLOSURES SOURCED; INDUSTRY CLASSIFICATION AND CYCLE ANALYSIS REASONED. INDUSTRY SIZE AND GROWTH STATISTICS FROM A PRIMARY SOURCE: NOT RETRIEVED.

A1. Business Environment

Caterpillar operates in capital goods, specifically heavy off-highway equipment and power systems. The industry sells long-lived machines (excavators, wheel loaders, mining trucks, dozers), engines, generator sets, turbines and locomotives to customers whose own spending depends on construction activity, commodity prices, energy investment and infrastructure budgets. The industry value chain runs from steel, castings and electronics suppliers, through OEM assembly, to an independent dealer network that sells, rents, finances and services the equipment, and finally to end users who consume parts and service across a machine life of 20 years or more.

Economic value is captured in three places: the initial machine sale (cyclical and contested), the parts and service stream (higher margin, tied to the installed base) and financing (interest margin, captive to the OEM). Caterpillar reports services revenue of USD 24bn in FY2025 and 1.6 million connected assets, which indicates that roughly a third of revenue is tied to the installed base rather than new-machine orders. That share is a Reasoned estimate: USD 24bn divided by USD 67.6bn is 35.5%.

The industry is capital-intensive (Caterpillar capex was 6.3% of revenue in FY2025 and 6.1% on a trailing basis, up from 4.4% in FY2022), cyclical, exposed to tariffs and trade policy, and increasingly technology-dependent through autonomy (827 autonomous haul trucks in operation), electrification and remote monitoring. It is moderately concentrated: a small group of global OEMs dominates mining and large construction equipment, while compact equipment and Asian markets are more fragmented and price-competitive.

INDUSTRY STAGE (REASONED)

Mature and highly cyclical in construction and mining machinery, with a structurally growing segment in power generation. Mature, because unit demand follows GDP, infrastructure and commodity cycles. Cyclical, because Caterpillar revenue fell 3.4% in FY2024 after two years of double-digit growth. Structurally transforming in power, where data-center electricity demand has extended delivery schedules to 2029 and 2030.

A2. What Does the Company Do?

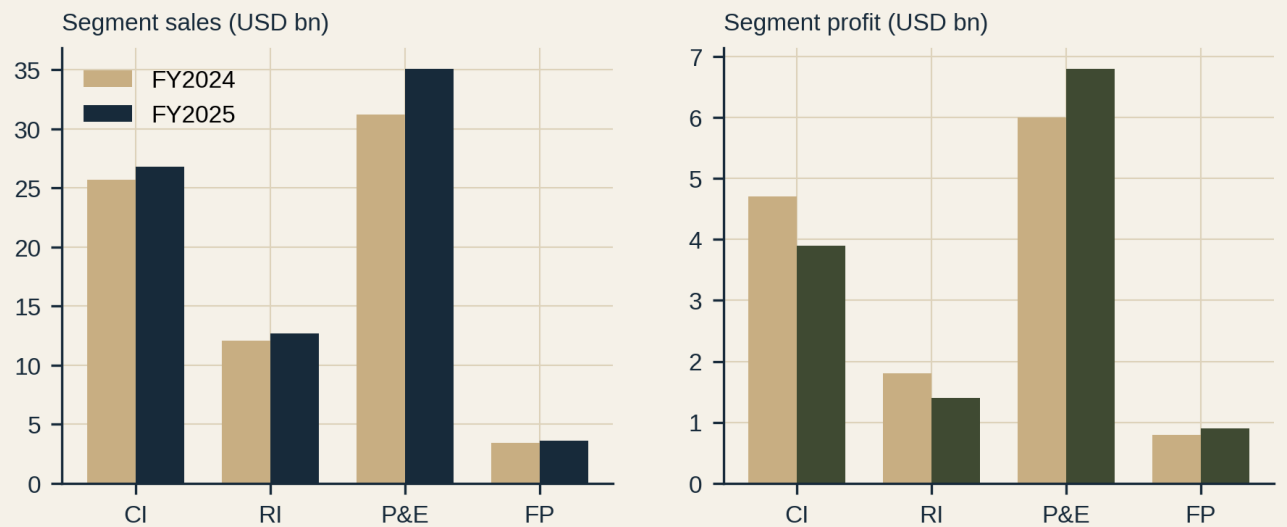
A new employee should think of Caterpillar as four businesses under one brand. Construction Industries (FY2025 segment sales USD 26.8bn) sells the machines that build roads, buildings and pipelines. Resource Industries (USD 12.7bn) sells mining and quarry machinery and technology. Power and Energy (USD 35.1bn, the largest segment) sells reciprocating engines, gas turbines through Solar Turbines, generator sets, and rail products and services. Financial Products (USD 3.6bn) finances customers and dealers through Cat Financial and provides insurance. Segment totals are stated before intersegment eliminations and therefore exceed the consolidated USD 67.6bn.

SEGMENT RESULTS, BEFORE INTERSEGMENT ELIMINATIONS (SOURCED; MARGINS CALCULATED)

Segment	FY2024 sales (USD bn)	FY2025 sales (USD bn)	FY2024 profit (USD bn)	FY2025 profit (USD bn)	FY2025 profit margin
Construction Industries	25.7	26.8	4.7	3.9	14.6%

Segment	FY2024 sales (USD bn)	FY2025 sales (USD bn)	FY2024 profit (USD bn)	FY2025 profit (USD bn)	FY2025 profit margin
Resource Industries	12.1	12.7	1.8	1.4	11.0%
Power and Energy	31.2	35.1	6.0	6.8	19.4%
Financial Products	3.4	3.6	0.8	0.9	25.0%

Segment sales and profit, FY2024 and FY2025



Units: USD bn. CI: Construction Industries; RI: Resource Industries; P&E: Power and Energy; FP: Financial Products. Source: Caterpillar Q4 2025 earnings release (29 January 2026).

The Q2 2026 pattern shows where the incremental profit is coming from. Construction Industries sales rose 35% to USD 8,346m with segment profit up 57% to USD 1,947m; Power and Energy rose 17% to USD 8,238m with profit up 30% to USD 2,027m; Resource Industries rose 20% to USD 4,648m with profit up 23% to USD 693m; Financial Products revenue rose 10% to USD 1,145m with profit up 32% to USD 328m. Management stated that power generation sales grew 72%, driven by large generator sets and turbines used in data centers.

How a dollar enters the company and where it goes (Reasoned flow, using Sourced totals)

1. CUSTOMER

Contractors, miners, utilities, oil and gas, marine, rail, data centers

2. DEALER OR DIRECT

About 150 independent dealers sell, rent, finance and service the machines

3. REVENUE

New machines and engines, parts and services (USD 24bn), financing income

4. COSTS

Materials, labor and freight, tariffs (about USD 2.2bn expected in 2026), R&D and SG&A; cost of revenue was 70.3% of TTM revenue

5. OPERATING PROFIT

FY2025 USD 11.8bn (17.4%); TTM USD 13.9bn (18.7%)

6. CASH FLOW

TTM operating cash flow USD 13.6bn less capex USD 4.6bn gives free cash flow USD 9.0bn

7. CAPITAL ALLOCATION

TTM buybacks USD 7.3bn and dividends USD 2.8bn (USD 10.1bn, 112% of free cash flow); remainder funded by net debt issuance of USD 4.6bn

The economically most important parts are Power and Energy (about 56% of the profit of the three industrial segments in FY2025, Calculated) and the services layer. Pricing is contractually protected on long-dated orders: management said extended orders carry escalators tied to economic indicators, so margins are intended to be protected for deliveries through 2029 and 2030.

Segment data: Caterpillar Q4 2025 earnings release. Q2 2026 data: Caterpillar Q2 2026 earnings release. Services revenue, dealer count and connected assets: Caterpillar 2025 Annual Report. Cost of revenue is revenue minus gross profit (Calculated).

A. Network, Competition, Management

BASIS: RELATIONSHIPS AND COMPETITORS REASONED FROM PUBLIC COMPANY DESCRIPTIONS; FIGURES SOURCED WHERE STATED.

A3. Business and Relationship Network

ECOSYSTEM MAP

Node	Relationship	Why it matters economically (Reasoned)
Caterpillar Inc.	Parent; 118,000 employees	Group of four reporting segments
Dealer network	About 150 independent dealers worldwide	Sales, rental, parts and service channel; owns customer relationship and generates the recurring services stream
Cat Financial and Caterpillar Insurance	Wholly owned Financial Products segment	Funds customer and dealer purchases; explains why USD 45.2bn of consolidated debt is not comparable to industrial debt
Solar Turbines and Progress Rail	Subsidiaries within Power and Energy	Turbines for oil, gas and data-center power; rail equipment and services
Suppliers	Steel, castings, electronics, semiconductors and components	Input costs and tariffs; USD 2.2bn expected 2026 tariff cost shows sensitivity
Customers	Contractors, miners, utilities, oil and gas, data-center developers	Order books extend to 2029 and 2030 in power; cyclical in construction
Technology	Autonomy, telematics, digital services, electrification	827 autonomous trucks and 1.6 million connected assets support services attach rates
Major shareholders	Institutions hold about 73.5%; insiders about 0.22% (Alpha Vantage)	Ownership is dispersed; management influence is through governance rather than stake

A4. Competition

Competitors are selected for real overlap in customers, suppliers and talent, not for GICS labels. Company-level scale and margins for machinery peers are taken from StockAnalysis.com; product descriptions are Reasoned from general industry knowledge and marked as such. Data on private and foreign-listed rivals (Komatsu, Volvo CE, Hitachi, Liebherr, SANY, XCMG, Rolls-Royce Power Systems, Wartsila, Siemens Energy): Not Retrieved.

COMPETITIVE COMPARISON (REASONED, WITH SOURCED RATIOS FROM STOCKANALYSIS.COM, 29 SEPTEMBER 2026)

Competitor	Overlap	Advantage	Disadvantage
Deere and Company	Construction and forestry, agriculture	Strong precision technology, dealer base	Higher agricultural cyclicalilty; ROIC 5.7% versus 18.3% at Caterpillar
Komatsu	Construction and mining machines	Mining trucks, autonomy, Asian presence	Smaller in engines and power

Competitor	Overlap	Advantage	Disadvantage
Volvo CE, Hitachi, Liebherr	Excavators, loaders, mining	Regional strengths, product breadth	Less scale in parts and financing
SANY, XCMG, other Chinese OEMs	Excavators and compact equipment	Price, domestic scale	Brand and service network abroad
Cummins	Engines, generator sets	Engine breadth, 15.1x EV/EBITDA	Lower operating margin (11.3%)
GE Vernova	Gas turbines, power equipment	Utility-scale turbine backlog; 41.4% ROIC	Different customer set; 62.1x EV/EBITDA
Rolls-Royce Power Systems, Wartsila, Siemens Energy	Gensets, gas engines, turbines	Data-center and marine power products	Narrower distribution and services reach

A5. Competitive Differences

Structural advantages: (1) the dealer and parts network, which converts a machine sale into decades of parts and service revenue; (2) scale, with FY2025 revenue of USD 67.6bn and an 18.7% trailing operating margin against 13.5% at Deere and 11.3% at Cummins; (3) installed-base data from 1.6 million connected assets; (4) vertical presence from components to financing. Temporary advantages: pricing realization (USD 595m favorable in Q2 2026) and the data-center order cycle, which depend on hyperscaler capital expenditure. Disadvantages: exposure to steel and tariff costs, 6% capex intensity, concentration of incremental profit in North America (59% of Q2 revenue), and Chinese price competition in excavators.

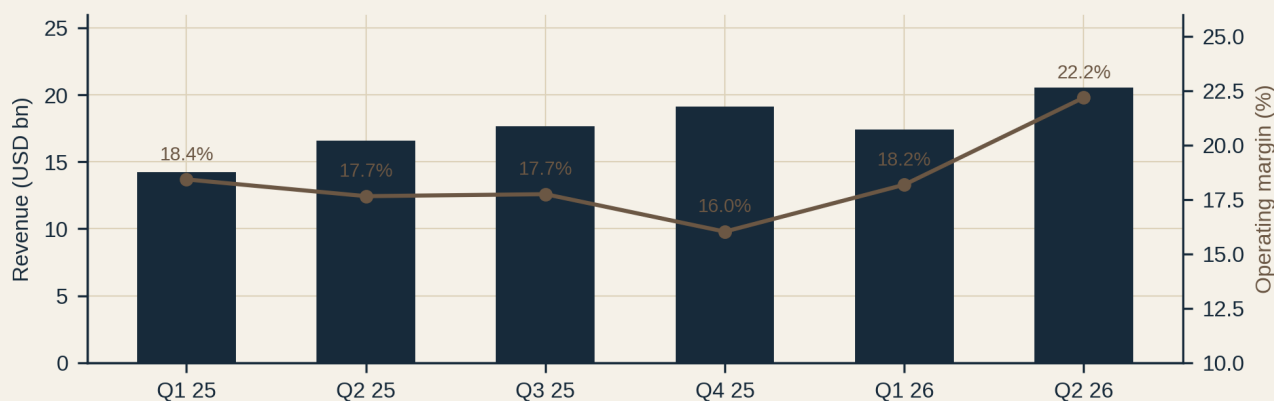
MOAT ASSESSMENT (REASONED): STRONG

Evidence: margin resilience (operating margin 16.2% in FY2021 to 18.7% TTM), 18.3% ROIC, pricing above cost inflation, backlog of USD 72bn (59% deliverable within 12 months), and a services base of USD 24bn. Not rated Very Strong because machine demand remains cyclical and Chinese OEMs contest price in emerging markets.

A6. Industry Trend

Structural trends: rising electricity demand for computing, grid reinforcement and standby power; mining of copper and other transition metals; infrastructure spending; automation and autonomy; and services growth. Temporary conditions: post-2023 destocking (revenue fell 3.4% in FY2024), tariff cost pass-through, and pull-forward ordering by customers securing capacity. The industry is best classified as Cyclical and Consolidating in machines, and Growing and Structurally transforming in power. The trend reverses if hyperscaler capex slows, if gas-engine and turbine capacity across the industry catches up with demand and pricing normalizes, or if interest rates and commodity prices drive a construction and mining downturn.

Quarterly revenue and operating margin, Q1 2025 to Q2 2026



Units: USD bn and %. Operating margin is S&P Global standardized operating income divided by revenue; the company reports 20.9% GAAP operating margin for Q2 2026 on its own definition. Source: StockAnalysis.com, Caterpillar.

A7. Management

Sourced from the company officers page: Joseph E. Creed is Chairman and Chief Executive Officer; Kyle J. Epley is Chief Financial Officer (overseeing Finance Services, Financial Products, Enterprise Strategy and Information Technology); Andrew R.J. Bonfield is Executive Advisor and CFO Emeritus; Derek Owens is Chief Legal Officer; Christy Pambianchi is Chief Human Resources Officer. Group Presidents are Denise C. Johnson (Resource Industries), Jason E. Kaiser (Power and Energy), Rod Shurman (Construction Industries) and Bob De Lange (Digital, Technology and Distribution). Career histories, tenure dates and compensation: Not Retrieved from a primary source in this review.

Capital allocation record (Sourced data, Reasoned interpretation): between FY2021 and FY2025 Caterpillar repurchased USD 24.9bn of stock and paid USD 12.7bn of dividends, together USD 37.6bn against cumulative free cash flow of USD 36.0bn (105%). Share count fell 2.67% in the last twelve months. Management raised the quarterly dividend to USD 1.63 from USD 1.51 in 2026 (7.9%), a payout of 28.1% of earnings. Buyback yield is 2.67% and dividend yield 0.80%. Over the trailing year buybacks and dividends of USD 10.1bn exceeded free cash flow of USD 9.0bn, partly financed by debt; repurchases at USD 800 or more per share deliver a lower earnings yield per dollar than in FY2021, when the P/E was 17.2x.

Guidance credibility: management raised full-year 2026 sales growth to mid to high teens, lifted the adjusted operating margin outlook and moved ME&T free cash flow to the top half of its USD 6bn to 15bn annual target range at Q2 2026, and Q2 tariff cost of about USD 400m came in below the USD 700m earlier estimate. Insider ownership is low (about 0.22%, Alpha Vantage), so alignment depends on equity compensation whose terms were not retrieved.

Buyback and dividend totals: StockAnalysis.com cash flow statement. Cumulative figures are Calculated: FY2021 to FY2025 repurchases sum to USD 24.9bn (2,668 + 4,230 + 4,975 + 7,737 + 5,263, USD m), dividends to USD 12.7bn and free cash flow to USD 36.0bn.

B. Evaluation: Metrics and Risks

BASIS: REPORTED STATEMENTS SOURCED FROM S&P GLOBAL MARKET INTELLIGENCE VIA STOCKANALYSIS.COM (US GAAP); ALL RATIOS BELOW ARE CALCULATED UNLESS MARKED SOURCED. DEBT INCLUDES CAT FINANCIAL FUNDING.

B1. Financial and Operating Metrics

PROFITABILITY, EFFICIENCY, LEVERAGE AND CASH-FLOW METRICS

Metric	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Jun-26
Gross margin	25.9%	26.2%	31.7%	32.5%	28.8%	29.7%
Operating margin (standardized)	16.2%	16.4%	20.4%	20.9%	17.4%	18.7%
EBITDA margin (Derived)	20.8%	20.2%	23.6%	24.2%	20.7%	21.7%
Net margin	12.7%	11.3%	15.4%	16.7%	13.1%	14.5%
ROE (Sourced)	40.7%	41.4%	58.4%	55.3%	43.5%	57.0%
ROIC (Sourced)	14.5%	16.0%	22.1%	21.3%	16.6%	18.3%
ROA (net income / year-end assets)	7.8%	8.2%	11.8%	12.3%	9.0%	10.6%
Asset turnover	0.62x	0.73x	0.77x	0.74x	0.69x	0.73x
Inventory turnover (cost of revenue / year-end inventory)	2.69x	2.70x	2.76x	2.60x	2.65x	2.55x
Receivable days (year-end receivables / revenue x 365)	62	56	52	54	61	66
Debt / EBITDA	3.62x	3.14x	2.43x	2.48x	3.16x	2.78x
Net debt / EBITDA	2.73x	2.63x	1.93x	2.09x	2.49x	2.41x
Debt / equity	2.33x	2.36x	1.97x	2.00x	2.07x	2.33x
OCF / net income	1.11x	1.16x	1.25x	1.12x	1.32x	1.25x
FCF / net income	0.73x	0.77x	0.95x	0.82x	0.84x	0.83x
FCF margin	9.3%	8.7%	14.6%	13.6%	11.0%	12.0%
Capex / revenue	4.8%	4.4%	4.6%	5.0%	6.3%	6.1%

Interest coverage: N/A. Interest expense is not separated between manufacturing and Cat Financial in the retrieved data, and coverage on a consolidated basis is not meaningful for a captive-finance group. TTM inventory and receivable days use year-end balances at 30 June 2026. Metrics not calculated: PEG is shown in Section B3 only.

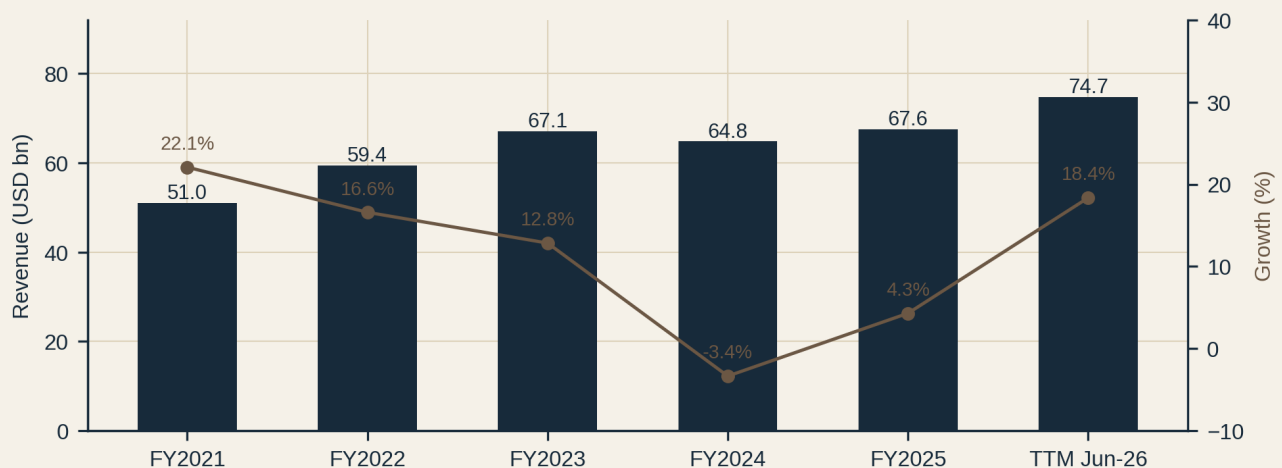
Growth (FY2021 to FY2025, four-year CAGR, Calculated)

GROWTH RATES

Metric	FY2021	FY2025	CAGR
Revenue (USD m)	50,971	67,589	7.3%
EBITDA, Derived (USD m)	10,626	13,961	7.1%
Operating income (USD m)	8,274	11,764	9.2%
Net income (USD m)	6,489	8,884	8.2%
Diluted EPS (USD)	11.83	18.81	12.3%
Free cash flow (USD m)	4,726	7,453	12.1%

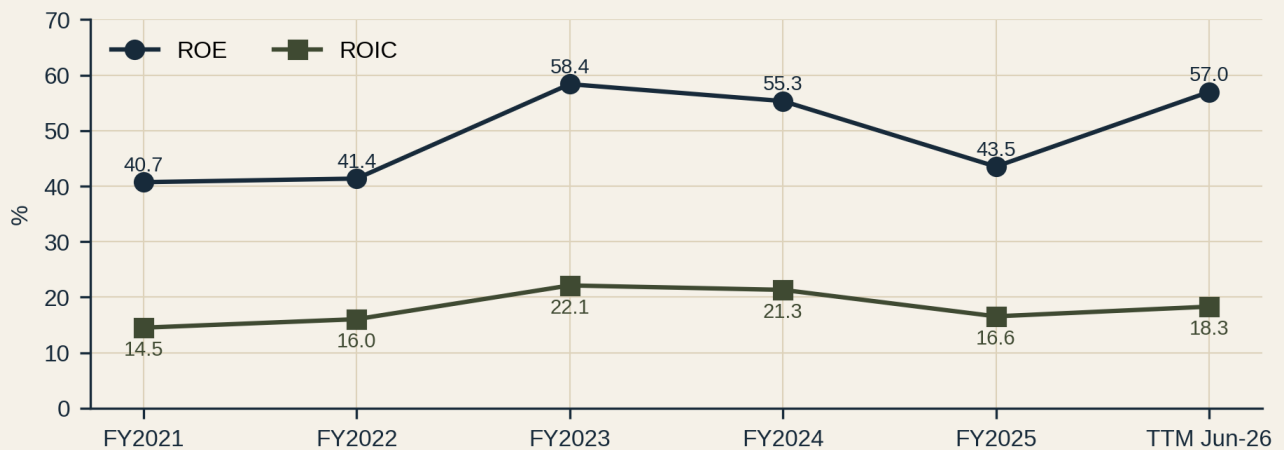
Interpretation (Reasoned): EPS compounded at 12.3% against revenue at 7.3%, and the gap is explained by margin expansion (operating margin 16.2% to 17.4%) and a lower share count, not by faster business growth. EPS growth is therefore partly financial engineering: cumulative buybacks of USD 24.9bn. Organic versus acquired growth: Not Retrieved. The 2025 margin reduction (20.9% to 17.4%) coincided with roughly USD 1.0bn of higher tariff-driven manufacturing costs in Q4 2025 alone. The consolidated leverage ratios are distorted by Cat Financial: ROE of 57.0% reflects equity of only USD 19.4bn after USD 54.5bn of treasury stock, so ROIC (18.3%) is the better measure of value creation, and it still exceeds any reasonable cost of capital.

Revenue and growth, FY2021 to TTM June 2026



Units: USD bn and % change. Source: StockAnalysis.com (S&P Global Market Intelligence), updated 5 August 2026.

Return on equity and return on invested capital



Units: %. Source: StockAnalysis.com ratios, current column as of 29 September 2026.

B2. Risks

Probability and impact are scored from 1 (low) to 5 (high) and multiplied (Reasoned).

RISK REGISTER

Risk	Category	Prob.	Impact	Score	Comment
Data-center power demand pause or overbuild	Macro, business	3	5	15	Power generation grew 72% in Q2 2026; a slowdown would hit order intake, pricing and multiples together
Valuation de-rating toward historical range	Valuation	4	4	16	EV/EBITDA is 25.6x versus 11.3x to 13.2x in FY2021 to FY2024
Cyclical downturn in construction and mining	Business, macro	3	4	12	Revenue fell 3.4% in FY2024; operating margin dropped 3.5 points in FY2025
Tariffs and input costs	Regulatory	4	3	12	About USD 2.2bn of 2026 tariff cost expected; USD 392m IEEPA tariff recoveries booked in Q2 2026
Cat Financial credit losses and refinancing	Financial	2	4	8	USD 34.5bn of Financial Products debt funds receivables; USD 13.1bn current
Chinese and Asian competition	Competitive	3	3	9	Asia/Pacific grew only 4% in Q2 2026 against 37% in North America
Execution on capacity expansion	Business	3	3	9	1.5 GW gas-engine capacity is scheduled to ship from Q4 2026; delays defer revenue
Cybersecurity and technology disruption	Technological	2	3	6	Connected fleet of 1.6 million assets enlarges the attack surface
Pension and other obligations	Financial	2	2	4	Pension and post-retirement liabilities were USD 3.7bn at 30 June 2026

THREE RISKS MOST CAPABLE OF PERMANENTLY IMPAIRING SHAREHOLDER VALUE (REASONED)

First, a structural fall in the multiple: at 25.6x EV/EBITDA a return to 13x with unchanged earnings would reduce equity value by about half. Second, a data-center capex reversal that removes the growth that supports the current multiple. Third, a combined cyclical and tariff shock that returns operating margin to the 16 to 17% range at lower volumes.

Financial Products debt: current USD 13,072m plus long-term USD 21,384m at 30 June 2026 (StockAnalysis.com balance sheet). Regional growth: Caterpillar Q2 2026 earnings release.

B3. Valuation

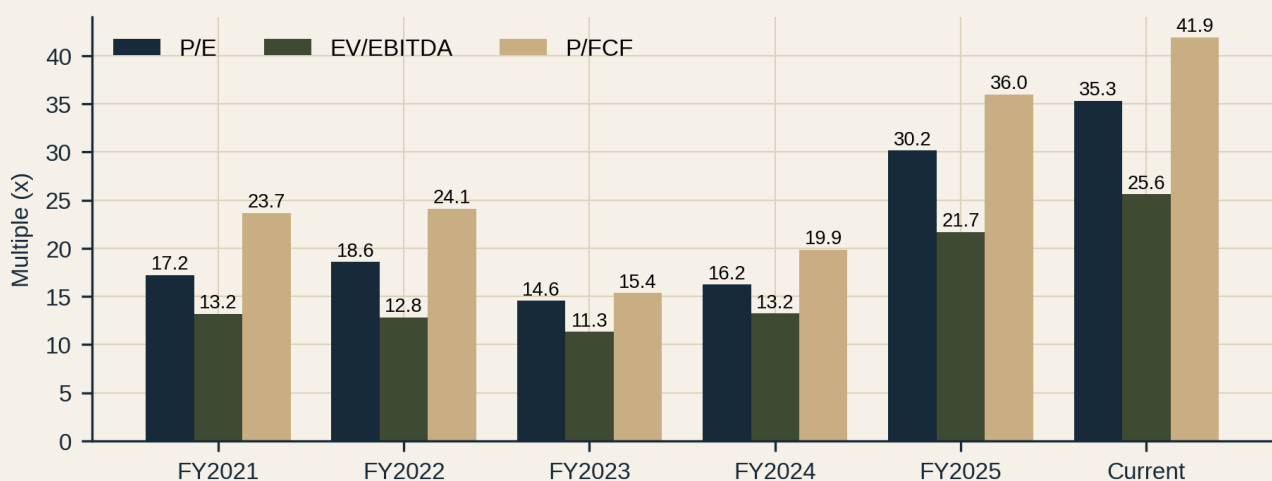
BASIS: MARKET DATA AS OF 29 SEPTEMBER 2026 (STOCKANALYSIS.COM, S&P GLOBAL MARKET INTELLIGENCE) AND CLOSING PRICE OF 28 SEPTEMBER 2026 (ALPHA VANTAGE); DCF IS CALCULATED ON ASSUMPTIONS MARKED REASONED.

B3. Valuation

VALUATION MULTIPLES AGAINST OWN HISTORY (SOURCED; YEAR-END MARKET DATA)

Multiple	Caterpillar today	FY2025	FY2024	FY2023	FY2022	FY2021
P/E (trailing)	35.3x	30.2x	16.2x	14.6x	18.6x	17.2x
Forward P/E	28.5x	N/A	N/A	N/A	N/A	N/A
EV/EBITDA	25.6x	21.7x	13.3x	11.3x	12.8x	13.2x
EV/EBIT	29.9x	25.8x	15.4x	13.1x	15.8x	16.9x
P/S	5.0x	4.0x	2.7x	2.3x	2.1x	2.2x
P/FCF	41.9x	36.0x	19.9x	15.4x	24.1x	23.7x
EV/FCF	46.3x	40.7x	23.6x	18.3x	29.8x	29.7x
P/B	19.4x	12.6x	9.0x	7.7x	7.9x	6.8x
PEG	1.56	3.63	2.39	1.02	0.93	0.67
Dividend yield	0.80%	1.04%	1.56%	1.79%	2.08%	2.29%

Valuation multiple history



Units: multiple (x). Source: StockAnalysis.com ratios; current column as of 29 September 2026.

Market capitalization is USD 376.9bn (459.7m shares at USD 819.95) and enterprise value USD 416.1bn, adding consolidated net debt of USD 39.2bn. Because Cat Financial debt funds receivables that are themselves assets, enterprise value overstates the industrial claim; the ME&T-only net debt figure was Not Retrieved, so the reported consolidated EV is

used consistently. Market cap growth of 71% in twelve months compares with net income growth of 18%, so the re-rating, not earnings, explains most of the gain.

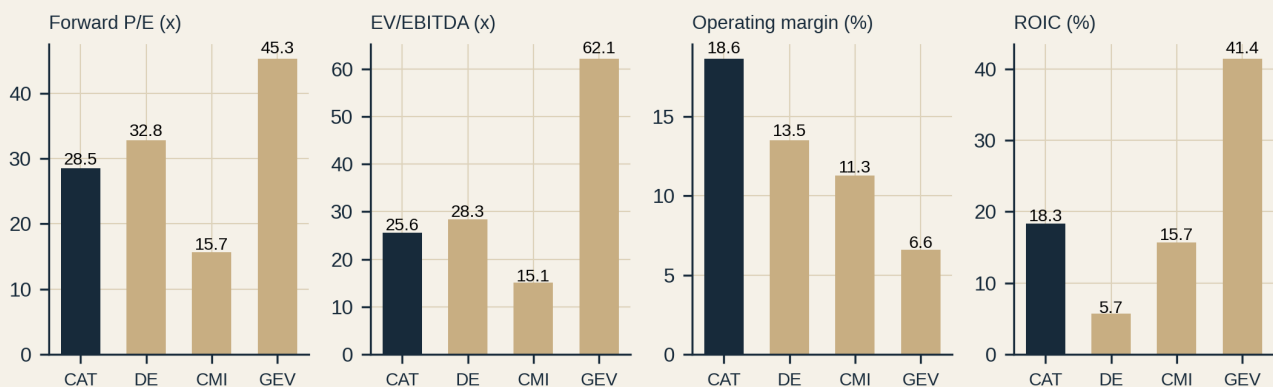
Peer valuation

PEER COMPARISON (SOURCED, 29 SEPTEMBER 2026)

Company	Mkt cap (USD bn)	EV (USD bn)	P/E	Fwd P/E	EV/EBITDA	P/FCF	Op. margin	ROIC	Beta
Caterpillar	376.9	416.1	35.3x	28.5x	25.6x	41.9x	18.7%	18.3%	1.59
Deere and Company	185.9	243.6	38.3x	32.8x	28.3x	57.6x	13.5%	5.7%	0.91
Cummins	71.3	75.7	26.5x	15.7x	15.1x	21.2x	11.3%	15.7%	1.23
GE Vernova	253.0	244.0	27.2x	45.3x	62.1x	20.3x	6.6%	41.4%	0.97

Peers were chosen for overlap: Deere competes in construction equipment and shares the industrial capital-cycle; Cummins competes in engines and generator sets; GE Vernova competes for the same data-center and utility power spending. Caterpillar trades at a discount to Deere on forward P/E and EV/EBITDA with a higher operating margin and ROIC, and at a large premium to Cummins on every multiple. GE Vernova is a cross-check on how the market prices power-equipment growth, not a like-for-like comparison, because its earnings are inflated by non-operating items (net margin 23.0% against operating margin 6.6%).

Peer comparison



Units: multiples (x) and %. CAT: Caterpillar; DE: Deere; CMI: Cummins; GEV: GE Vernova. Source: StockAnalysis.com (S&P Global Market Intelligence), 29 September 2026.

B4. Capital Market Analysis

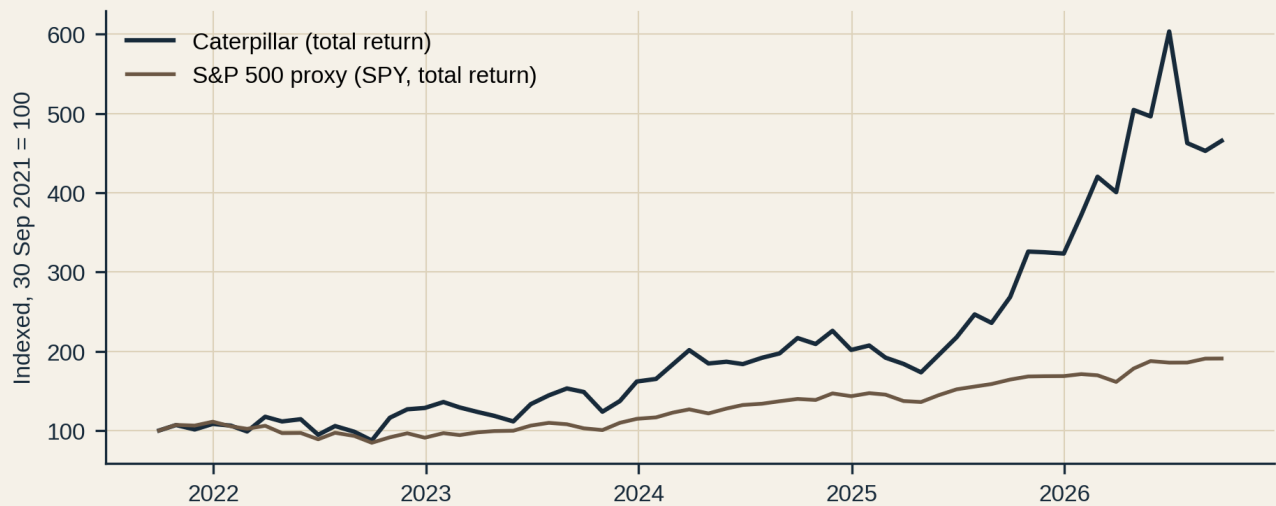
BASIS: PRICES SOURCED FROM ALPHA VANTAGE (DAILY AND MONTHLY SERIES) AND STOCKANALYSIS.COM; RETURNS, VOLATILITY, BETA AND TECHNICAL INDICATORS CALCULATED FROM THOSE SERIES; INTERPRETATION REASONED.

B4. Capital Market and Stock Analysis

PRICE AND TOTAL RETURNS TO 28 SEPTEMBER 2026 (CALCULATED)

Period	Price return	Total return (with dividends)	S&P 500 proxy (SPY) total return
1 day (28 Sep 2026)	-0.2%	N/A	N/A
1 week	+0.4%	N/A	N/A
1 month	+2.5%	N/A	N/A
3 months (from 29 Jun 2026 close)	-20.6%	N/A	N/A
6 months (from 31 Mar 2026 close)	+15.7%	N/A	N/A
Year to date (from 31 Dec 2025 close)	+43.1%	+44.0%	+13.2%
1 year (from 30 Sep 2025 close)	+71.8%	+73.4%	+16.2%
3 years (from 29 Sep 2023 close)	+200.3%	+213.3%	+85.7%
5 years (from 30 Sep 2021 close)	+327.1%	+365.5%	+90.8%

Total return versus benchmark, five years



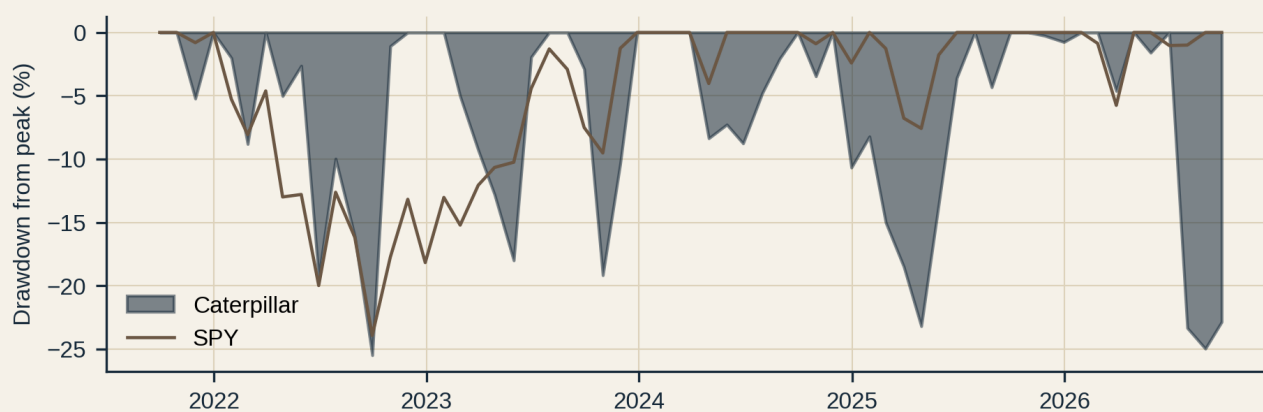
Units: index, 30 September 2021 = 100; month-end adjusted closes. Source: Alpha Vantage.

VOLATILITY AND DRAWDOWN

Risk measure (5 years, monthly data)	Caterpillar	SPY
Annualized volatility	36.7%	15.6%

Risk measure (5 years, monthly data)	Caterpillar	SPY
Downside volatility (annualized)	20.9%	N/A
Maximum drawdown (month-end basis, low in Sep 2022)	-25.5%	-23.9%
Beta versus SPY (Calculated)	1.53	1.00
Beta, 5-year (Sourced, StockAnalysis.com)	1.59	1.00
Correlation with SPY	0.65	1.00
Annualized volatility, last 100 trading days	41.4%	N/A

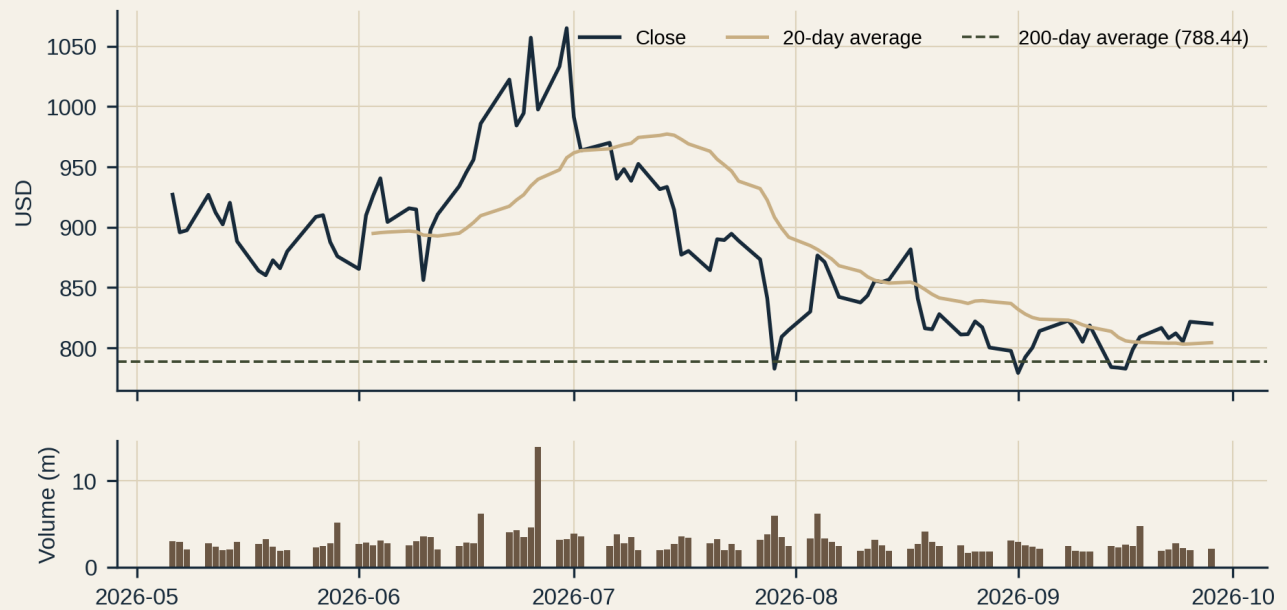
Drawdown from prior peak, Caterpillar and SPY



Units: %; month-end adjusted closes, 30 September 2021 to 28 September 2026. Source: Alpha Vantage. Intra-month lows are not captured.

Market behavior (Reasoned): the stock rose from USD 191.97 to a monthly-close high of USD 1,064.90 on 30 June 2026, then declined to USD 819.95, a fall of 23.0% in three months, while trading close to its 200-day average. The high-beta profile (1.5 to 1.6) and 36.7% annualized volatility are those of a growth-linked cyclical, not of a defensive industrial. The 52-week range is USD 466.04 to USD 1,071.47; the price is 23.5% below the high and 76% above the low. Earnings reaction on 4 August 2026 was large in both directions: the shares opened at USD 922.00, traded to USD 935.00 and closed at USD 876.54 on volume of 6.2m shares, more than twice the 50-day average of 2.7m, after closing at USD 830.03 the prior day. The 26 June 2026 volume of 13.9m shares is consistent with an index rebalancing date (Reasoned).

Last 100 trading days: price, 20-day average and volume



Units: USD and millions of shares. Source: Alpha Vantage daily series, 6 May to 28 September 2026.

TECHNICAL INDICATORS AS OF 28 SEPTEMBER 2026

Indicator	Value	Reading (Reasoned)
50-day moving average	USD 828.03	Price is 1.0% below; short-term trend flat to slightly negative
200-day moving average	USD 790.69 (StockAnalysis.com); 788.44 (Alpha Vantage)	Price is 3.7% above; long-term uptrend intact but narrowing
RSI (14-day, Calculated)	51.5	Neutral; no overbought or oversold signal
MACD (12,26,9; Calculated)	-4.69 versus signal -9.32	Both below zero; line above signal, early sign of momentum stabilizing
ATR (14-day, Calculated)	USD 20.69 (2.5% of price)	Typical daily range is wide; position risk is high
Support (Reasoned)	USD 772 to 785	Lows of 16 September (774.48) and 29 July (776.00)
Resistance (Reasoned)	USD 880 to 895	July trading range; above it the 1,000 area

The technical structure is a consolidation after a parabolic advance: the price has held above the 200-day average and made a higher low in September than in July. This describes momentum and positioning only. It is separate from the fundamental conclusion in Section B3, where the current price sits above the cash-flow value ranges. Relative performance versus the sector was not measured because a sector index series was Not Retrieved.

Beta and correlation are computed on log returns of month-end adjusted closes, 30 September 2021 to 28 September 2026 (60 observations). Total returns use dividend-adjusted closes. Drawdown uses month-end closes and understates intra-month declines. The 3-month return is measured from the 29 June 2026 close (USD 1,033.19); the 30 June close was USD 1,064.90.

C. Financial Statements

BASIS: US GAAP STATEMENTS REPORTED (S&P GLOBAL MARKET INTELLIGENCE VIA STOCKANALYSIS.COM, UPDATED 5 AUGUST 2026; COMPANY RELEASES FOR Q2 2026); RATIOS CALCULATED; EBITDA DERIVED AS OPERATING INCOME PLUS DEPRECIATION AND AMORTIZATION.

C1. Income Statement

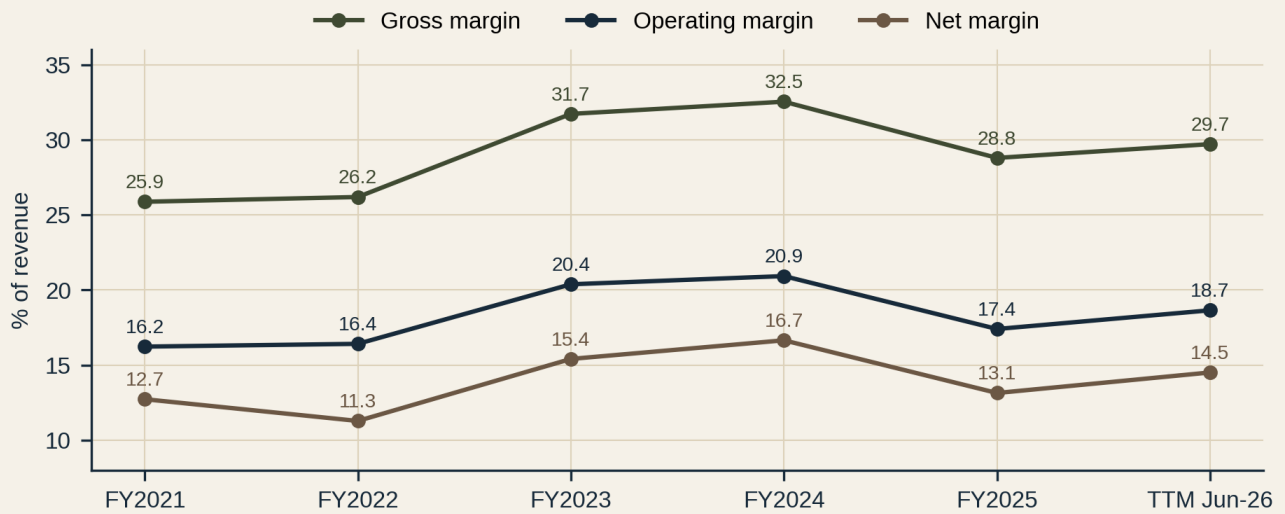
INCOME STATEMENT SUMMARY

USD m	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Jun-26
Revenue	50,971	59,427	67,060	64,809	67,589	74,729
Growth	22.1%	16.6%	12.8%	-3.4%	4.3%	18.4%
Gross profit	13,189	15,565	21,275	21,088	19,462	22,204
Operating income (standardized)	8,274	9,756	13,668	13,563	11,764	13,937
EBITDA (Derived)	10,626	11,975	15,812	15,716	13,961	16,251
Net income	6,489	6,705	10,335	10,792	8,884	10,844
Diluted EPS (USD)	11.83	12.64	20.12	22.05	18.81	23.21
EPS growth	116.7%	6.9%	59.2%	9.6%	-14.7%	18.0%

Growth attribution (Reasoned, using Q2 2026 company data): the USD 3.97bn year-on-year revenue increase in Q2 2026 was made of about USD 3.1bn from higher sales volume (78%) and USD 595m from price realization (15%), leaving about USD 0.3bn for currency and other effects, which were not itemized in the retrieved text. Volume came from North America (up 37%) and from power generation (up 72%). Adjusted profit per share was USD 8.17 against a GAAP figure of USD 7.77, the difference representing items the company excludes (restructuring and other), so adjusted figures are shown only as management claims.

Operating leverage: TTM revenue is USD 7.1bn above FY2025 while standardized operating income is USD 2.2bn higher, an incremental margin of 30.4% (Calculated) against an average margin of 18.7%. Margins are expanding on the trailing basis (gross 28.8% to 29.7%) after contracting in FY2025 (operating margin 20.9% to 17.4%) because of tariffs, mix and lower absorption. Net income in FY2025 fell 17.7% while revenue rose 4.3%, evidence that FY2025 was a cost-driven, not demand-driven, decline. R&D, SG&A, interest expense and tax lines were Not Retrieved at line-item detail.

Gross, operating and net margin

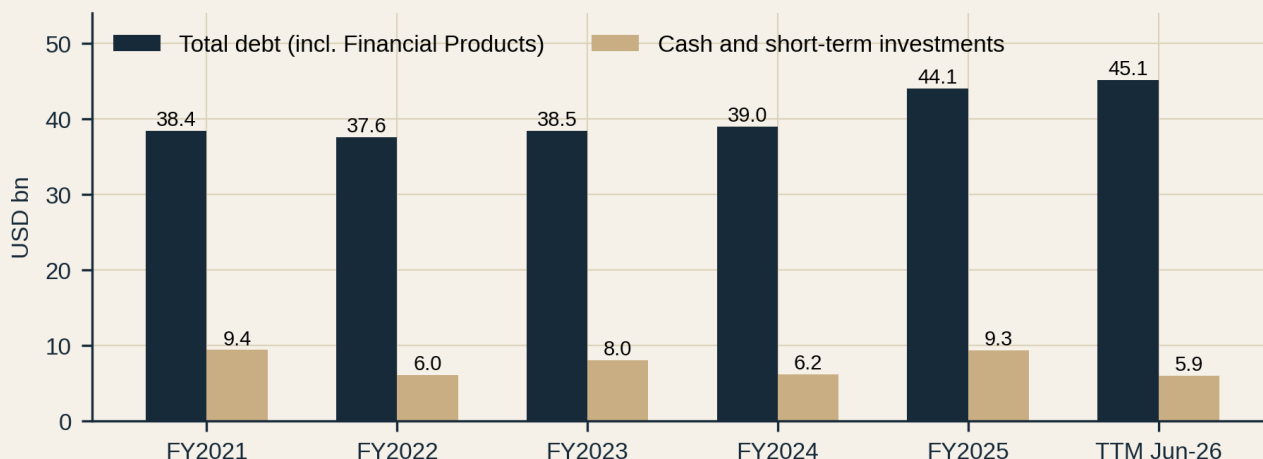


Units: % of revenue. Source: StockAnalysis.com, Caterpillar; operating margin is standardized S&P Global operating income.

C2. Balance Sheet

BALANCE SHEET SUMMARY

USD m	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Jun-26
Cash and short-term investments	9,392	6,042	8,006	6,165	9,333	5,945
Receivables	8,664	9,103	9,556	9,520	11,217	13,465
Inventory	14,038	16,270	16,565	16,827	18,135	20,627
Property, plant and equipment	8,797	8,750	9,250	10,123	15,848	15,628
Goodwill and intangibles	7,366	6,046	5,872	5,640	5,562	6,279
Total assets	82,793	81,943	87,476	87,764	98,585	102,609
Total debt (incl. Financial Products)	38,422	37,569	38,452	39,011	44,058	45,150
Net debt (Derived)	29,030	31,527	30,446	32,846	34,725	39,205
Pension and post-retirement	5,592	4,203	4,098	3,757	3,837	3,743
Total equity	16,516	15,891	19,503	19,494	21,318	19,394

Debt and cash

Units: USD bn. Total debt includes finance-division (Cat Financial) debt, current and long-term, plus other long-term debt and leases. Source: StockAnalysis.com balance sheet.

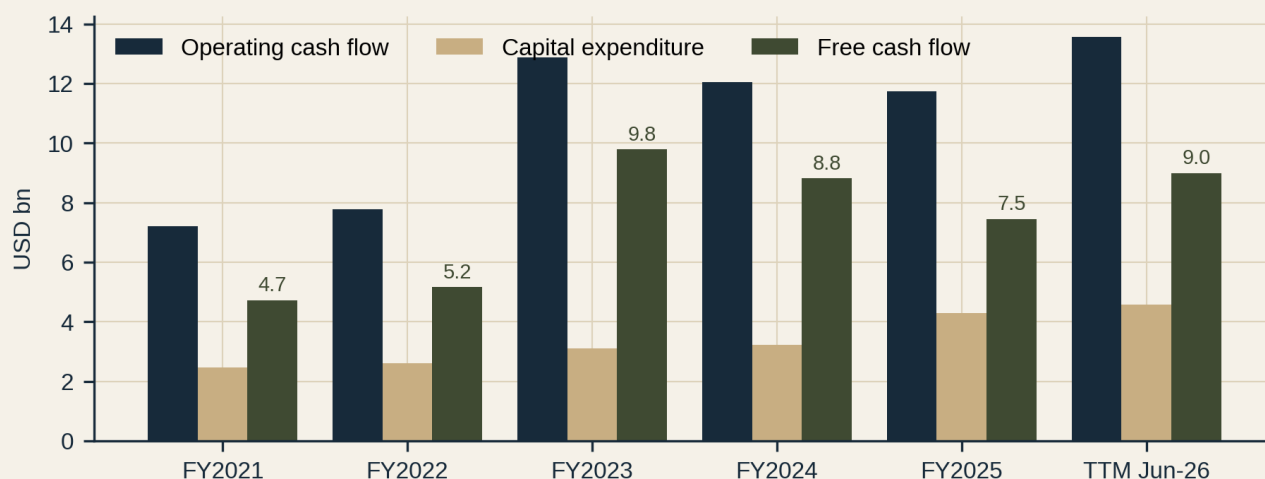
Net debt is USD 39.2bn at 30 June 2026, or 2.4x EBITDA, with a current ratio of 1.37, an equity ratio of 18.9% (equity divided by assets) and working capital of USD 14.7bn. Of total debt, USD 34.5bn is finance-division debt that funds USD 25.2bn of finance receivables (current USD 10.8bn plus long-term USD 14.4bn) plus long-term receivables; industrial debt is about USD 10.7bn of long-term debt and USD 35m current. Goodwill and intangibles of USD 6.3bn equal 32% of equity, a moderate concentration.

Red flags to monitor (Reasoned): receivables rose 20% and inventory 14% in six months, from year-end 2025 to June 2026, against revenue growth on the trailing basis of 18.4%, so working capital is consuming cash in line with sales but not yet at an excessive pace; property, plant and equipment jumped from USD 10.1bn to USD 15.8bn in FY2025 (cause Not Retrieved; possibly capacity investment and lease-related assets); equity fell USD 1.9bn between December 2025 and June 2026 because repurchases exceeded earnings retention. Offsetting positive: customer deposits (current unearned revenue USD 4.8bn plus long-term USD 2.5bn, versus USD 2.3bn plus USD 0.4bn at FY2024) fund capacity for long-dated orders.

C3. Cash Flow Statement

CASH FLOW SUMMARY

USD m	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Jun-26
Operating cash flow	7,198	7,766	12,885	12,035	11,739	13,569
Capital expenditure	-2,472	-2,599	-3,092	-3,215	-4,286	-4,575
Free cash flow	4,726	5,167	9,793	8,820	7,453	8,994
Share repurchases	-2,668	-4,230	-4,975	-7,737	-5,263	-7,273
Dividends paid	-2,332	-2,440	-2,563	-2,646	-2,749	-2,812
Net debt issued	681	-652	594	799	4,130	4,577
Change in receivables	-1,259	-220	-437	-160	-2,138	-5,001
Change in inventory	-2,586	-2,589	-364	-414	-1,477	-2,391
Change in unearned revenue	34	768	80	370	1,933	3,233

Operating cash flow, capital expenditure and free cash flow

Units: USD bn. FCF = operating cash flow minus capital expenditure (Calculated by the data provider). Source: StockAnalysis.com.

Earnings are supported by cash: operating cash flow has exceeded net income every year (1.25x TTM), helped by depreciation of USD 2.3bn and customer deposits. Free cash flow is less than net income (0.83x TTM) because capital expenditure of USD 4.6bn exceeds depreciation of USD 2.3bn by a wide margin, a sign that a large part of spending is growth capacity. Working capital absorbed USD 7.4bn in receivables and inventory over the trailing year, offset by USD 3.2bn from unearned revenue and USD 1.7bn from payables. Net Income does not equal cash generation in FY2025: net income was USD 8.9bn, operating cash flow USD 11.7bn and free cash flow USD 7.5bn. Management-defined capex of about USD 3.5bn for 2026 is lower than the USD 4.6bn trailing capex reported here, reflecting a different treatment of equipment leased to others (Reasoned).

Sources: StockAnalysis.com annual and TTM statements, updated 5 August 2026; Caterpillar Q2 2026 call statements on capex guidance.

C4 to C6. Projections, DCF and LBO

BASIS: FORECASTS AND DCF ARE CALCULATED FROM STATED ASSUMPTIONS (REASONED); STARTING FIGURES SOURCED. NOTHING HERE IS A PRICE PREDICTION.

C4. Forecasting and Projections

Revenue model: the base case starts from FY2025 revenue of USD 67.6bn and applies 16% growth in 2026, consistent with management guidance of mid to high teens growth (management claim), which implies about USD 78.4bn. Growth then fades from 10% in 2027 to 3% by 2035 as backlog conversion peaks and the cycle normalizes. Volume versus price: Q2 2026 growth was about 78% volume and 15% price, and the base case assumes price contribution shrinks toward inflation. Market share evolution: Not Retrieved; the model is not built bottom-up by segment because segment-level backlog data were not retrieved.

Margins and reinvestment: free cash flow margin was 12.0% TTM (9.3% in FY2021, 14.6% in FY2023). The base case moves it from 12.0% to 13.0%, reflecting operating leverage on higher volume offset by capex intensity of about 6% of revenue and working capital growth. Capital expenditure for 2026 is guided at about USD 3.5bn on management definition; growth capex (1.5 GW gas-engine capacity) is a large portion and maintenance capex is estimated by the analyst at roughly USD 2.3bn, equal to depreciation (Reasoned).

SCENARIO ASSUMPTIONS (REASONED)

Scenario	Revenue growth path	FCF margin	Cost of equity	Terminal growth	Revenue in year 10 (USD bn)	Year-10 FCF (USD bn)
Bear	14% in 2026, 4% in 2027, 2% thereafter	11% falling to 10%	10.0%	2.5%	93.9	9.4
Base	16% in 2026, fading to 3%	12% rising to 13%	9.5%	3.0%	124.9	16.2
Bull	17% in 2026, fading to 4%	13% rising to 16%	9.0%	3.5%	152.5	24.4

C5. Discounted Cash Flow Model

DCF INPUTS

Input	Assumption	Basis
Cash flow measured	Consolidated free cash flow (operating cash flow minus capex), after interest and taxes paid	Reasoned; matches the definition used in Section C3
Revenue assumptions	FY2025 base USD 67.6bn; 10-year growth path in C4	Sourced start, Reasoned path
Margin assumption	FCF margin 12% to 13% in base case (TTM 12.0%)	Calculated, Reasoned
Tax assumption	Captured within FCF margin; effective tax rate not retrieved	Not Retrieved
Capex and working capital	Captured within FCF margin; capex 6.1% of TTM revenue	Calculated

Input	Assumption	Basis
Discount rate	Cost of equity 9.5% base (9.0% to 10.5% range), because FCF is after financing costs and net debt is not deducted; a CAPM rate using the measured beta of 1.5 to 1.6 would be higher and lower the values	Reasoned
Terminal growth	3.0% base (2.0% to 4.0% range)	Reasoned
Net debt	Not deducted (equity cash flow); consolidated net debt is USD 39.2bn for reference	Sourced
Shares outstanding	459.7 million	Sourced (StockAnalysis.com)
Timing	Mid-year style discounting; terminal value share of value: base 57%	Calculated

DCF VALUATION RANGE (CALCULATED; A RANGE, NOT A POINT ESTIMATE)

Scenario	Equity value (USD bn)	Value per share (USD)	Versus price of USD 819.95
Bear	107	232	-72%
Base	187	406	-50%
Bull	306	666	-19%

SENSITIVITY: VALUE PER SHARE (USD), COST OF EQUITY AGAINST TERMINAL GROWTH, BASE CASH FLOWS

Cost of equity	g 2.0%	g 2.5%	g 3.0%	g 3.5%	g 4.0%
8.5%	433	456	482	513	552
9.0%	401	419	441	466	496
9.5%	373	388	406	426	451
10.0%	349	362	376	393	413
10.5%	327	338	350	364	381

SENSITIVITY: VALUE PER SHARE (USD), REVENUE GROWTH AGAINST STARTING FCF MARGIN (MARGIN RAMPS UP 1 POINT OVER TEN YEARS)

Growth shift per year	FCF margin 10%	11%	12%	13%	14%	16%
-4 pts	254	278	302	325	349	397
-2 pts	295	322	350	377	405	460
+0 pts	342	374	406	438	469	533
+2 pts	397	434	471	508	545	619
+4 pts	462	504	547	590	633	718

WHAT THE MARKET PRICE REQUIRES (CALCULATED)

Holding the base growth path and 9.5% cost of equity, the price of USD 819.95 requires a flat FCF margin of about 26% (about 24% at a 9.0% cost of equity), against 12.0% today. Alternatively, holding the base margin path, it requires annual growth about 9 points above the base path for ten years, implying revenue near USD 290bn by 2035 (near USD 260bn at a 9.0% cost of equity) against USD 74.7bn TTM. These are shown to explain embedded expectations, not to forecast them.

C6. Leveraged Buyout Model

Not applicable. An enterprise value of USD 416bn is far beyond the scale of any sponsor equity and debt financing, and the consolidated balance sheet includes a captive finance arm whose funding cannot be layered with acquisition debt in a conventional structure. No LBO returns analysis is presented.

DCF is Calculated in a script from the inputs above. Values are rounded to the nearest USD. A cash-flow model cannot capture optionality beyond ten years or multiples paid by other investors; it isolates what the price requires.

D. Investment Thesis

BASIS: SYNTHESIS OF SECTIONS A TO C; SCENARIOS CALCULATED, ALL INTERPRETATION REASONED.

Bull Case

Data-center and grid power demand keeps Power and Energy growing well above 10% for several years, the USD 72bn backlog converts at escalated prices through 2030, capacity additions ship on time, and free cash flow margin rises from 12% toward 16% as the mix shifts to higher-margin power and services. On these assumptions the DCF value is about USD 666 per share, still below the current price, so a bull outcome would need either even faster growth or a continued premium multiple.

Bear Case

Hyperscaler capex slows, construction and mining volumes fall back, tariffs persist and margins revert to the FY2025 level (operating margin near 17%). The stock de-rates toward its FY2023 multiples (EV/EBITDA 11 to 13x). The DCF value in this case is about USD 232 per share; a multiple return to 13x EV/EBITDA on TTM EBITDA of USD 16.3bn implies enterprise value of USD 211bn, or roughly USD 375 per share after consolidated net debt of USD 39.2bn (Calculated).

Base Case

Revenue grows about 16% in 2026, then fades toward 3%, with free cash flow margin around 12 to 13% and buybacks continuing at USD 5 to 7bn per year. The DCF range for this case is about USD 360 to 470 per share (cost of equity 9.0% to 10.0%, terminal growth 2.5% to 3.5%), against a market price of USD 819.95. Under cash-flow methods the stock therefore appears to price expectations that are Extremely Optimistic; a re-rating that has already occurred (P/E from 14.6x to 35.3x in under three years) is the main reason.

Catalysts

POTENTIAL CATALYSTS

Catalyst	Timing	Direction of effect
Third-quarter 2026 results and backlog update	Expected in late October 2026 (date Not Retrieved)	Backlog, price realization and tariff cost trends
First shipments from 1.5 GW gas-engine capacity	Fourth quarter 2026 (management)	Positive if on schedule
Tariff policy and IEEPA recoveries	Ongoing; USD 392m recovered in Q2 2026	Two-way
Hyperscaler capital-expenditure announcements	Quarterly	Two-way; largest single driver
Dividend, buyback pace	Quarterly dividend USD 1.63; buybacks USD 1.5bn in Q2 2026	Supportive
Interest-rate path and construction activity	Ongoing	Two-way

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive	Negative
Backlog (USD 72bn at Q2 2026)	Visibility on power and machine demand	Continued growth with rising escalator content	Sequential decline or cancellations
Power generation sales growth (72% in Q2)	Main source of the re-rating	Sustained above 30%	Deceleration below 15%
Operating margin (20.9% GAAP in Q2)	Tests pricing versus tariffs and costs	Above 21% at rising volume	Below 18%
ME&T free cash flow	Cash support for buybacks	Top half of USD 6bn to 15bn range	Lower half
Inventory and receivables growth	Cash conversion quality	Growth at or below revenue growth	Growth well above revenue growth
Cat Financial credit metrics	Captive-finance risk	Stable past-due levels	Rising past-dues and write-offs
EV/EBITDA multiple (25.6x)	Valuation risk	Stable with earnings growth	Compression toward 15x

E. Final Investment Framework

BASIS: REASONED SYNTHESIS. THIS IS A DECISION FRAMEWORK, NOT A RECOMMENDATION.

FINAL INVESTMENT FRAMEWORK

Dimension	Assessment and explanation
Business quality	High. Installed base, dealer network and services (USD 24bn) convert a cyclical machine business into a partly recurring one; ROIC of 18.3%.
Financial quality	Good. Operating cash flow at 1.25x net income; free cash flow at 0.83x net income because of heavy capex; shareholder returns exceeded FCF by 12% over the trailing year.
Competitive position	Strong. 18.7% trailing operating margin versus 13.5% at Deere and 11.3% at Cummins; not rated Very Strong because Chinese OEMs contest price and demand is cyclical.
Management	Adequate to good on evidence: guidance raised and tariff cost estimates improved in Q2 2026; disciplined dividend (payout 28.1%); buybacks executed at rising prices. Compensation and tenure detail Not Retrieved.
Industry	Cyclical and Consolidating in machines; Growing and Structurally transforming in power equipment.
Valuation	Elevated. 25.6x EV/EBITDA and 41.9x P/FCF against 11.3x and 15.4x in FY2023; DCF ranges of USD 230 to 670 per share bracket a price of USD 819.95 from below.
Technical and market structure	Neutral. Consolidating 23% below the June high, RSI 51.5, high beta of 1.5 to 1.6.
Principal risk	A de-rating of the multiple, with or without an earnings shortfall.
Principal catalyst	Backlog conversion and data-center power orders reported quarterly.
Key variable	Data-center-driven power-generation demand and its pricing through 2030, because it explains most of the growth and multiple expansion.
Thesis invalidation	The investment thesis would become materially weaker if backlog declines for two consecutive quarters, if adjusted operating margin falls below 18% at rising volume, if free cash flow remains below USD 7bn on a trailing basis while buybacks continue, or if power generation sales growth falls below 15%.

F. Data Table

BASIS: SOURCED AND CALCULATED. CURRENT = LATEST AVAILABLE (TTM JUNE 2026 OR 28 SEPTEMBER 2026 PRICE); PRIOR = FY2025; TREND = FY2021 FOR COMPARISON.

COMPANY SNAPSHOT

Category	Metric	Current	Prior year (FY2025)	Trend (FY2021 or 5Y)
Market	Market cap (USD bn)	376.9	268.1	111.8 (FY2021)
Market	Enterprise value (USD bn)	416.1	303.0	140.1 (FY2021)
Market	Share price (USD)	819.95	572.87 (31 Dec 2025)	191.97 (30 Sep 2021)
Growth	Revenue growth	18.4% (TTM)	4.3%	7.3% CAGR FY21 to FY25
Profitability	Gross margin	29.7%	28.8%	25.9%
Profitability	Operating margin	18.7%	17.4%	16.2%
Profitability	Net margin	14.5%	13.1%	12.7%
Profitability	ROE	57.0%	43.5%	40.7%
Profitability	ROIC	18.3%	16.6%	14.5%
Cash Flow	Operating cash flow (USD bn)	13.6	11.7	7.2
Cash Flow	Free cash flow (USD bn)	9.0	7.5	4.7
Leverage	Net debt / EBITDA	2.41x	2.49x	2.73x
Valuation	P/E	35.3x	30.2x	17.2x
Valuation	EV/EBITDA	25.6x	21.7x	13.2x
Valuation	P/FCF	41.9x	36.0x	23.7x
Market	Beta	1.59 (5Y sourced); 1.53 calculated	N/A	N/A
Market	Volatility (annualized, 5Y monthly)	36.7%	N/A	SPY: 15.6%
Market	Maximum drawdown (5Y, month-end)	-25.5%	N/A	SPY: -23.9%

G. Sources and Methodology

Primary Sources

Caterpillar Inc., Caterpillar Reports Second-Quarter 2026 Results

Released August 2026. <https://www.caterpillar.com/en/news/corporate-press-releases/h/2q26-results-caterpillar-inc.html>

Information obtained: Q2 2026 sales, profit per share, operating margin, cash and buybacks

Caterpillar Inc., 2Q 2026 Earnings Release (financial results PDF)

Released August 2026. <https://www.caterpillar.com/content/dam/caterpillarDotCom/releases/2q26/2q26-caterpillar-inc-financial-results.pdf>

Information obtained: Segment sales and profit, regional sales, six-month totals, tariff recoveries

Caterpillar Inc., 4Q 2025 Earnings Release (financial results PDF)

29 January 2026. <https://www.caterpillar.com/content/dam/caterpillarDotCom/releases/4q25/4q25-caterpillar-inc-financial-results.pdf>

Information obtained: FY2025 and FY2024 segment sales and profit, adjusted margin, cash deployment

Caterpillar Inc., Caterpillar Reports Fourth-Quarter and Full-Year 2025 Results (investor relations)

29 January 2026. <https://investors.caterpillar.com/news/news-details/2026/Caterpillar-Reports-Fourth-Quarter-and-Full-Year-2025-Results/default.aspx>

Information obtained: Full-year 2025 results

Caterpillar Inc. (filed with the US Securities and Exchange Commission), 2025 Annual Report including Form 10-K

Fiscal year ended 31 December 2025. <https://www.sec.gov/Archives/edgar/data/18230/000130817926000360/cat015318-ars.pdf>

Information obtained: Employees, dealers, services revenue, connected assets, autonomous trucks, MP&E free cash flow, dividends per share

Caterpillar Inc., Executive Officers

Retrieved 29 September 2026. <https://www.caterpillar.com/en/company/governance/officers.html>

Information obtained: Executive team and group presidents

Secondary Sources

Yahoo Finance, Caterpillar (CAT) Q2 2026 Earnings Call Transcript

August 2026. <https://finance.yahoo.com/markets/stocks/articles/caterpillar-cat-q2-2026-earnings-160001891.html>

Information obtained: Backlog of USD 72bn, guidance, tariff cost, capex, capacity, data-center demand, pricing escalators

Market Data and Financial Data Providers

StockAnalysis.com (S&P Global Market Intelligence), Caterpillar income statement

Updated 5 August 2026. <https://stockanalysis.com/stocks/cat/financials/>

Information obtained: FY2021 to FY2025 and TTM income statement

StockAnalysis.com, Caterpillar quarterly income statement

Updated 5 August 2026. <https://stockanalysis.com/stocks/cat/financials/?p=quarterly>

Information obtained: Quarterly revenue, operating income, net income and EPS

StockAnalysis.com, Caterpillar balance sheet

Updated 5 August 2026. <https://stockanalysis.com/stocks/cat/financials/balance-sheet/>

Information obtained: Assets, liabilities, equity

StockAnalysis.com, Caterpillar cash flow statement

Updated 5 August 2026. <https://stockanalysis.com/stocks/cat/financials/cash-flow-statement/>

Information obtained: Operating, investing and financing cash flows

StockAnalysis.com, Caterpillar financial ratios

Retrieved 29 September 2026. <https://stockanalysis.com/stocks/cat/financials/ratios/>

Information obtained: Market cap, enterprise value, multiples, returns, yields

StockAnalysis.com, Caterpillar statistics

Retrieved 29 September 2026. <https://stockanalysis.com/stocks/cat/statistics/>

Information obtained: Forward P/E, margins, beta, moving averages, net debt, yields

StockAnalysis.com, Caterpillar company profile

Retrieved 29 September 2026. <https://stockanalysis.com/stocks/cat/company/>

Information obtained: Employees and executive list

StockAnalysis.com, Deere statistics; Cummins statistics; GE Vernova statistics

Retrieved 29 September 2026. <https://stockanalysis.com/stocks/de/statistics/> ; <https://stockanalysis.com/stocks/cmi/statistics/> ; <https://stockanalysis.com/stocks/gev/statistics/>

Information obtained: Peer valuation and profitability ratios

Alpha Vantage, Time series (daily, monthly adjusted), global quote, company overview for CAT and SPY

Data to 28 September 2026. <https://www.alphavantage.co/documentation/>

Information obtained: Daily and monthly prices, dividends, volume, share count, ownership percentages, 52-week range

Calculations by the analyst

EBITDA (operating income plus depreciation and amortization); total debt and net debt from balance sheet lines; margins, turnover, CAGR; returns, volatility, downside volatility, drawdown, beta and correlation (monthly adjusted closes, 60 observations); RSI, MACD, ATR and 20-day average (daily closes); DCF, scenarios and sensitivities; segment profit margins; growth attribution; support and resistance levels.

Methodology and Cross-Source Reconciliation

DATA CROSS-CHECK

Item	Source A	Source B	Preferred and why
Trailing EPS (USD)	23.21 (StockAnalysis.com)	23.25 (Alpha Vantage)	23.21: same provider as peer multiples
Market cap (USD bn)	376.9 (StockAnalysis.com)	377.7 (Alpha Vantage)	376.9: consistent with 459.7m shares at USD 819.95
Forward P/E	28.5x (StockAnalysis.com)	25.4x (Alpha Vantage)	28.5x: same provider as peers; estimates differ by vendor
200-day average (USD)	790.69 (StockAnalysis.com)	788.44 (Alpha Vantage)	Both shown; difference under 0.3%
Q2 2026 operating margin	20.9% (company, GAAP)	22.2% (standardized)	Company figure for commentary; standardized for multi-year series
Regional sales, FY2025	USD 68.4bn sum (annual report excerpt)	USD 67.6bn consolidated	Q2 2026 regional split used instead because it reconciles to consolidated revenue
Beta	1.59 (5-year, sourced)	1.53 (calculated, monthly)	Sourced value cited; calculated shown as a cross-check

Accounting framework: US GAAP. Adjusted profit per share (USD 8.17 in Q2 2026) is a management measure and is not used in valuation; GAAP profit per share was USD 7.77. Currency: US dollars throughout. Fiscal year: calendar year ending 31 December. Trailing twelve months means the four quarters to 30 June 2026. Market data are for 28 September 2026 unless stated.

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